Form No: HCJD/C-121.
JUDGEMENT SHEET
IN THE ISLAMABADHIGH COURT, ISLAMABAD
JUDICIAL DEPARTMENT

1. INCOME TAX REFERENCE NO. 227 OF 2011

Commissioner Inland Revenue (Zone-II), LTU, Islamabad
Vs
M/s Khushhal Feed and Farms (Pvt.) Limited

2. INCOME TAX REFERENCE NO. 228 OF 2011

Commissioner Inland Revenue (Zone-II), LTU, Islamabad
Vs
M/s Khushhal Feed and Farms (Pvt.) Limited

3. INCOME TAX REFERENCE NO. 229 OF 2011

Commissioner Inland Revenue (Zone-II), LTU, Islamabad
Vs
M/s Khushhal Feed and Farms (Pvt.) Limited

APPLICANT BY: Dr. Farhat Zafar, Advocate.

RESPONDENT BY: Mr. Nasir Muhammad Malik, Advocate.

DATE OF DECISION: 16.04.2025.

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BABAR SATTAR, J.- These references emanate from the order of the Appellate Tribunal Inland Revenue **("Tribunal")** dated 28.04.2011, in which tax liability of the respondent/taxpayer in relation to tax years 2005, 2006 and 2007 was determined through a consolidated order.

2. The question framed for our consideration by order dated 02.03.2021 is as follows:

> *Whether on the facts and in the circumstances of the case, the learned ATIR was justified to uphold the order of the CIR(A) on account of exclusion of freight charges from gross turnover for the purpose of minimum tax under section 113 of the Income Tax ordinance, 2001?*

2. Learned counsel for the Tax Department submitted that a demand was generated by the Taxation Officer by order dated 21.10.2009, in terms of section 221 of the Income Tax Ordinance, 2001

("ITO") by holding that freight charges in the amount of Rs.4,899,164 ought to have been included in turnover in terms of the definition provided under section 113(3)(a) of ITO and generated a demand accordingly. The Commissioner (Appeals), by order dated 03.11.2010, set aside the demand on the basis that freight charges did not constitute revenue of the taxpayer but was reimbursement of payments made by the taxpayer on behalf of its customer for delivery of goods. This finding was then upheld by the Tribunal on the basis that the principal business activity of the taxpayer was manufacturing and supply of feed and it was not a freight forwarder and any amounts reimbursed to it by customers in lieu of freight charges for supply of feed did not form part of the sale or revenue receipts of the taxpayer. Learned counsel for the Tax Department was at a loss to explain how freights charges paid by a taxpayer for supply of goods on behalf of its customers, which amount was subsequently reimbursed, constituted receipts of the taxpayer.

3. Learned counsel for the respondent submitted that the taxpayer was in the business of manufacturing and supplying feed. As part of the process of supply, at the time when an order was placed, the taxpayer paid freight charges on behalf of its customers for supply and delivery of feed with an agreement between the parties that such freight charges payable by the customer would be reimbursed to the taxpayer upon receipt of the supplied feed by the customer. Such receipt of freight charges by the taxpayer therefore constituted reimbursement of charges by the customer and did not form part of sale or revenue receipts as the amount in question constituted receipts of the freight service provider for dispensation of services, and the burden of such charges was borne by the customer to whom such services were provided by the freight forwarder. He further submitted that the assessment order generating the demand has been issued in exercise of the authority under section

221 of the ITO, which was illegal as generating such demand did not fall within the scope of the said section. In the event that there was any reasonable basis for the Tax Department to generate a demand, it ought to have issued notice in terms of section 122 of the ITO. He submitted that the law in this regard was well settled and relied on ***Commissioner Inland Revenue, Karachi vs. M/s E.N.I Pakistan (M) Ltd.*** **(2013 PTD 508),** ***Commissioner Inland Revenue (Legal Division), LTU, Islamabad vs. OPI Gas Private Limited, Islamabad*** **(2020 PTD 2163),** ***Pak Arab Refinery Limited vs. Commissioner of Income Tax/Wealth Tax (Appeals) Zone-I, Lahore*** **(2023 PTD 1158)** and ***Commissioner Inland Revenue, Sialkot vs. Chaudhry Steel Mills*** **(2025 PTD 101).**

4. We are not impressed by the arguments of the learned counsel for the Tax Department. We find that the demand generated in exercise of authority under section 221 of the ITO is illegal as the scope of rectification of mistakes in exercise of authority under section 221 is well settled (see for example ***Commissioner of Income Tax, Karachi Vs. Abdul Ghani*** ***(2007 PTD 967),*** ***M/s Ibrahim Fibers Limited vs. Federation of Pakistan and others*** ***(Writ Petition No. 13284/2024 decided on 19.09.2017 by the Lahore High Court)*** and ***Commissioner Inland Revenue Vs. M/s AAR & Co. (Holiday Inn), Civic Center, Islamabad*** ***(I.T.Rs No.42, 43 and 44 of 2012 decided on 20.09.2023 by Islamabad High Court)***). Only where there is a mistake apparent from the record can jurisdiction be assumed in terms of section 221 of the ITO. In the instant matter the Tax Department sought to generate a demand by holding that freight charges constituted revenue receipts of the taxpayer. If such was the understanding of the Tax Department in relation to section 113 of the ITO, it ought to have issued show cause notice in exercise of authority under section 122 of

ITO for reassessment, which was not done. And on this basis alone any demand generated in exercise of authority under section 221 is unsustainable in the eyes of law.

5. We have also considered the definition of "turnover" as provided in section 113(3)(a). We agree with the contention of the taxpayer, as endorsed and upheld by the Commissioner (Appeals) as well as the Tribunal, that freight charges paid by the taxpayer on behest of its customers to a freight forwarding company, with the understanding that such charges were payable by the customer and were thus reimbursed thereafter, could not be treated as part of the revenue receipts of the taxpayer. The charges paid to the freight forwarding company constituted the revenue of the freight forwarding company. It was only under an agreement between the taxpayer and its customer that the charges payable by the customer were initially paid by the taxpayer and subsequently reimbursed by the customer upon delivery of goods. All that the taxpayer as the manufacturer and supplier of feed did was to pay such charges on behalf of its customers which were subsequently reimbursed by the customer to the taxpayer. The amount reimbursed, therefore, could not be treated as a revenue receipt of the taxpayer, as such amount was not paid in lieu of sale of goods/feed or any other services provided by the taxpayer to its customers. We, therefore, endorse the treatment afforded to freight charges by the Commissioner (Appeals) and the Tribunal and answer the question in favour of the taxpayer and against the Tax Department.

5. A copy of this order is directed to be sent to the Registrar of the Tribunal under the seal of this Court.

(SAMAN RAFAT IMTIAZ)
JUDGE

(BABAR SATTAR)
JUDGE

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